

deserve the most appreciative attention, but the whole proceeding would be stultified if the management's opinion on this subject were to be accepted as final *per se*.

It is an unhappy fact that in many cases where a management's policies are attacked the critic has some personal axe to grind. This too is perhaps inevitable. There is very little altruism in finance. Wars against corporate managements take time, energy and money. It is hardly to be expected that individuals will expend all these merely to see the right thing done. In such matters the most impressive and creditable moves are those made by a group of substantial stockholders, having an important stake of their own to protect and impelled thereby to act in the interests of the shareholders generally. Representations from such a source, *in any matter where the interest of the officers and the owners may conceivably be opposed*, should gain a more respectful hearing from the rank and file of stockholders than has hitherto been accorded them in most cases.²

Broadcast criticisms initiated by stockholders, proxy battles, and various kinds of legal proceedings are exceedingly vexatious to managements, and in many cases they are unwisely or improperly motivated. Yet these should be regarded as one of the drawbacks of being a corporate official and as part of the price of a vigilant stock ownership. The public must learn to judge such controversies on their merits, as developed by statements of fact and by reasoned argument. It must not allow itself to be swayed by mere accusation or by irrelevant personalities.

The subject of liquidation must not be left without some reference to the employees' vital interest therein. It seems heartless in the extreme to discuss such a decision solely from the standpoint of what will be best for the stockholder's pocketbook. Yet nothing is to be gained by confusing the issue. If the reason for continuing the business is primarily to keep the workers employed, and if this means a real sacrifice by the owners, they are entitled to know and to face the fact. They should not be told that it would be unwise for them to liquidate, when in truth it would be profitable but inhumane. It is fair to point out that under our present economic system the owners of a business are not expected to dissipate their capital for the sake of continuing employment. In privately owned enterprises such

² The proxy regulations of the S.E.C. seek to facilitate the presentation of viewpoints opposed to the management by requiring the company to send out requests for proxies (and covering letters) supplied by individual stockholders, postage to be paid by the latter.